126. Carla Norrlof, "Dollar Hegemony: A Power Analysis," *Review of International Political Economy* 21, no. 5 (2014): 1042–1070.

127. Raghuram G. Rajan and Luigi Zingales, "The Great Reversals: The Politics of Financial Development in the Twentieth Century," *Journal of Financial Economics* 69, no. 1 (2003): 5–50; and idem., *Saving Capitalism from the Capitalists: Unleashing the Power of Financial Markets to Create Wealth and Spread Opportunity* (Princeton, NJ: Princeton University Press, 2004).

128. See, for example, Dani Rodrik, *The Globalization Paradox: Democracy and the Future of the World Economy* (New York: W. W. Norton, 2011).

129. Quoting Markus Rodlauer, deputy director of the IMF's Asia-Pacific department. "China Regulatory Fragmentation 'Dangerous,' Says IMF," *GlobalCapital*, October 11, 2016.

130. For example, International Monetary Institute (IMI), *RMB Internationalization Report 2015*, Renmin University, Beijing (July 2015); and the discussion of Justin Yifu Lin's speech and other Chinese economists in Eswar S. Prasad, *Gaining Currency: The Rise of the Renminbi* (New York: Oxford University Press, 2016), 175–176.

131. According to Prasad, the policy of internationalizing the RMB has led to a loosening of many of the restrictions on cross-border capital flows. Prasad, "China's Efforts to Expand," 11–13.

132. By comparison, China's capital account is "becoming increasingly open in *de facto* terms," showing significant gross external assets ($6.4 trillion—about 62 percent of GDP) and liabilities ($5 trillion—about 44 percent of GDP) in 2014, with a ratio over 100 percent. China's gross external position exceeds that of other emerging markets, while as a share of GDP, it lags behind reserve currency economies. In short, China's measure of openness is "relatively high, exceeding the levels of countries such as Brazil and India." Ibid., 11–12.

133. The underlying data used in Table 2.6 are from a variety of publicly available sources, principally the World Bank's *World Development Indicators*, available at www.worldbank.org.

134. This measure follows that in Arvind Subramanian, "Renminbi Rules: The Conditional Imminence of Reserve Currency Transition," *Working Paper #11/14*, (Peterson Institute for International Economics (PIIE), Washington, DC: Peterson Institute, September 2011). Countries with a current account surplus hold zero percent.

135. The role of exchange rate levels—that is, deliberate currency undervaluation—in generating large current account surpluses is not addressed here. The problem is that determination of the "correct" valuation of a national currency is extremely controversial. A substantial body of opinion—especially in the United States, in recent decades a chronically deficit country—claims that the mere presence of large current account surpluses or deficits is itself sufficient evidence of currency misalignment. See William R. Cline, "Estimating Consistent Fundamental Equilibrium Exchange Rates," *Working Paper No. 08/6*, (Peterson Institute for International Economics, Washington, DC: Peterson Institute, July 2008).

136. Armijo et al. calculate the "home financial market" as the sum of commercial bank loans outstanding, stock market capitalization, and the stock of corporate and government debt. See Leslie Elliott Armijo, Daniel C. Tirone, and Hyoung-kyu Chey, "Global Finance Meets Neorealism, and a Dataset," unpublished paper and dataset, January 2017.

137. Cohen, *Currency Power*.

138. See http://www.longfinance.net/global-financial-centre-index-19/976-gfci-19-the-overall-rankings.html for the GFCI 2016; and http://www.sh.xinhuanet.com/shstatics/zhuanti2014/zsbg/en.pdf for the Xinhua-Dow Jones 2014 Index.

139. Steven Liao and Daniel McDowell, "Redback Rising: China's Bilateral Swap Agreements and Renminbi Internationalization," *International Studies Quarterly* 59, no. 3 (2015): 401–422. For